

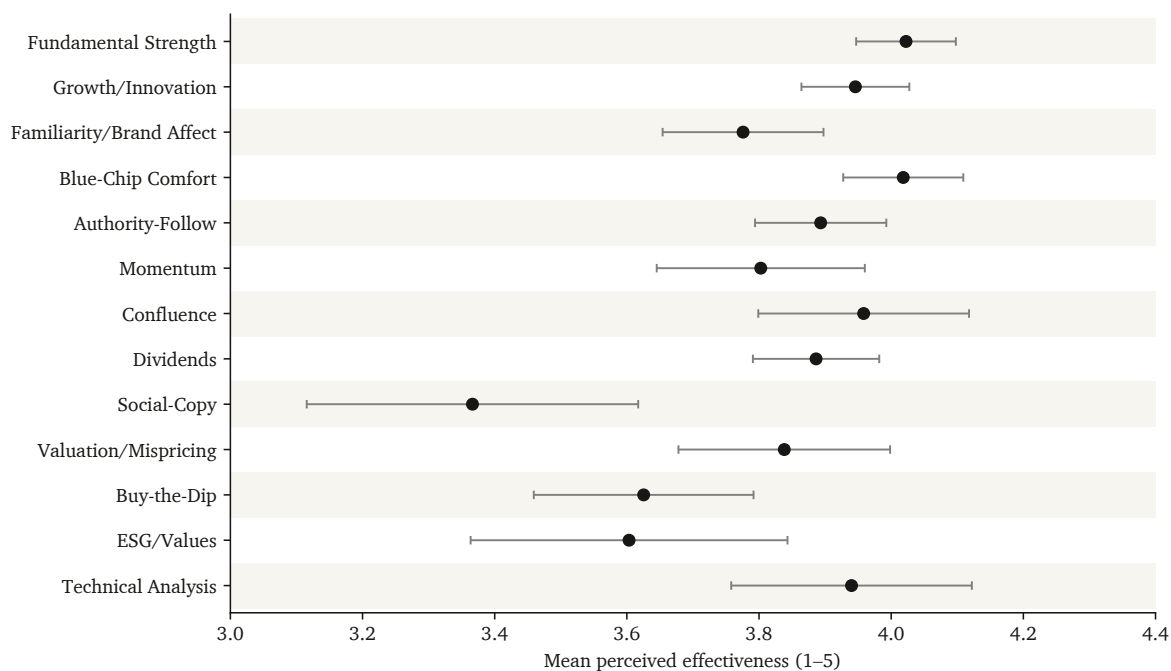


Figure F5: Perceived Effectiveness of Each Heuristic.

This figure shows how effective the follow-up survey respondents believe each of the thirteen heuristics to be. On a five-point scale from 1 (“not effective at all”) to 5 (“extremely effective”), respondents rate how effective a heuristic is at finding stocks that match an investment objective in their own local stock market. The rated heuristics are those we identify in the interview of the respondent plus any others the respondent reports having used in the past. When these exceed three, the respondent rates only the three longest-used. We elicit ratings only for the objectives the respondent rates 4 or 5 in importance, so every rating comes from a respondent who has used the heuristic and considers the objective important. Twenty-one respondents rate no objective that highly and therefore rate no heuristic. The figure pools the four objectives. Because a respondent rates between one and four objectives, we first average the ratings of each respondent for a heuristic across the objectives she rates and then average across respondents, so that each respondent counts equally. Markers report these means and horizontal bars the associated 95% confidence intervals, and we truncate the horizontal axis to the range of the estimates. All thirteen means lie above the midpoint of the scale. The number of respondents behind a heuristic ranges from 25 to 263. We order heuristics from top to bottom by their prevalence in the full interview sample.